in default and recovered). However, the recovery amount of ₹1 crore cannot be added to reinstate the DLG cover.

							(figures in ₹crore)
Period	**Disbursed**	**Loan maturing without default**	**Default Amount**	**DLG Invoked**	**Recovery/ Write-off**	**Outstanding Portfolio**	**Available DLG Cover**
Initial Position	10	-	-	-	-	10	0.5
Further disbursement	10	-	-	-	-	20	1
Case 1	20	5	-	-	-	15	1
Case 2	20	5	2	1	-	15	0
Case 3	20	5	2	1	1	14	0

25. Recognition of NPA

(1) [1][Asset classification of individual loan assets and consequent provisioning requirement shall be in terms of the Reserve Bank of India (Non-Banking Financial Companies – Income Recognition, Asset Classification and Provisioning) Directions, 2025.]

(2) The amount of DLG invoked shall not be set off against the underlying individual loans, i.e. the liability of the borrowers in respect of the underlying loan shall remain unaffected.

(3) Recovery by an NBFC, if any, from the loans on which DLG has been invoked and realised, can be shared with the DLG provider in terms of the contractual arrangement.

(4) DLG amount once invoked by an NBFC shall not be reinstated, including through loan recovery.

26. Treatment of DLG for regulatory capital

(1) Capital computation, i.e., computation of exposure and application of Credit Risk Mitigation benefits on individual loan assets in the portfolio shall continue

[1] Substituted w.e.f. February 13, 2026, vide Reserve Bank of India (Non-Banking Financial Companies – Credit Facilities) Amendment Directions, 2026 dated February 13, 2026

to be governed by the Reserve Bank of India (Non-Banking Financial Companies – Prudential Norms on Capital Adequacy) Directions, 2025.

(2) In case, DLG provider is an NBFC, it shall deduct full amount of the DLG which is outstanding from its capital.

27. Invocation and tenor of DLG

(1) An NBFC shall invoke DLG within a maximum overdue period of 120 days, unless the loan dues are made good by the borrower before that.

(2) The period for which the DLG agreement remains in force shall not be less than the longest tenor of the loan in the underlying loan portfolio.

28. Disclosure requirements

(1) An NBFC shall put in place a mechanism to ensure that LSPs with whom they have a DLG arrangement shall publish on their website the total number of portfolios and the respective amount of each portfolio on which DLG has been offered. The name of the lender(s) may or may not be disclosed as part of disclosure under this provision.

(2) Disclosure under sub-paragraph (1) above shall be made on a monthly basis, with the disclosure for any given month to be provided no later than seven (7) working days following the conclusion of that month.

29. Exceptions

Guarantees covered under the following schemes / entities shall not be covered within the definition of DLG:

(1) Guarantee schemes of Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE), Credit Risk Guarantee Fund Trust for Low Income Housing (CRGFTLIH) and individual schemes under National Credit Guarantee Trustee Company Ltd (NCGTC).

(2) Credit guarantee provided by Bank for International Settlements (BIS), International Monetary Fund (IMF) as well as Multilateral Development Banks as referred to in the Reserve Bank of India (Commercial Banks – Prudential Norms on Capital Adequacy) Directions, 2025.

F. General Provisions

30. General provisions

(1) EMI programmes on Credit Card are governed specifically by the Reserve Bank of India (Non-Banking Financial Companies – Credit Cards: Issuance and Conduct) Directions, 2025. Such transactions shall not be covered under these Directions. However other loan products offered on Credit Cards which are not covered / envisaged under the aforesaid Master Direction shall be governed by the stipulations laid down under this Chapter on Digital Lending..

(2) DLG arrangements entered between an NBFC and their LSP conforming to the instructions laid down in this Chapter shall neither be treated as "synthetic securitisation" as defined under the Reserve Bank of India (Non-Banking Financial Companies – Securitisation Transactions) Directions, 2025, nor attract the provisions of 'loan participation' as defined under the Reserve Bank of India (Non-Banking Financial Companies – Transfer and Distribution of Credit Risk) Directions, 2025.

Chapter IV - Lending against Gold and Silver Collateral

Background: Reserve Bank has restricted lending against primary gold such as gold bullion due to broader macro-prudential concerns as also due to speculative and non-productive nature of gold. However, NBFCs have been permitted to lend against the collateral security of gold jewellery, ornaments and coins for meeting the short-term financing needs of borrowers. The extant regulations are guided, inter alia, by the objective of providing the borrowers an avenue to tide over their tight liquidity conditions by leveraging the gold jewellery, ornaments or coins that are kept idle, while simultaneously addressing the risks for the lenders. Similar concerns and objectives guide a few regulations issued in the past on lending against the collateral of silver.

31. Instructions contained in this Chapter shall be complied with as expeditiously as possible but no later than April 1, 2026. Loans sanctioned prior to the date of adoption of the Directions by the bank shall continue to be governed by the instructions mentioned in the Annex II and applicable before the adoption of these Directions. Instructions contained in Annex II will cease to be effective from the date of adoption and implementation of instructions contained in this Chapter.

A. General Provisions

32. The credit policy (hereinafter called the policy) of an NBFC, as required in terms of the Chapter II on 'Board Approved Policies', shall include, inter alia, appropriate single borrower limits and aggregate limits for the portfolio of loans against collateral of jewellery, ornaments or coins made of gold or silver ("eligible collateral" for this Chapter); maximum LTV ratio permissible for such loans; action to be taken in cases of breach of LTV ratio; valuation standards and norms; and standards of gold and silver purity. The policy shall also include appropriate documentation to be obtained and maintained for loans proposed to be categorised under priority sector lending.

33. An NBFC may decide on a suitable approach for lending against eligible collateral as part of its credit risk management framework, consistent, inter alia, with the principle of proportionality and ease of access for small ticket loans. However, detailed credit assessment, including assessment of borrower's repayment

capacity shall be undertaken in case the total loan amount against eligible collateral is above ₹2.5 lakh to a borrower.

Provided that in case of Bullet repayment loans, the threshold loan amount for detailed credit assessment shall be the total amount payable at maturity.

34. The NBFC may renew an existing loan or sanction a top-up loan upon a formal request from the borrower and subject to a credit assessment in accordance with paragraph 33 above. Such renewal or top-up shall be permitted only within the permissible LTV, and provided the loan is classified as standard. Further, renewal of bullet repayment loan shall be allowed only after payment of accrued interest, if any. The NBFC shall ensure that such renewals and top-ups are clearly identifiable in its Core Banking System or Loan Processing System.

B. Restrictions and Ceilings

35. The NBFC shall not grant any advance or loan:

    (1) For purchase of gold in any form including primary gold, ornaments, jewellery, or coins, or for purchase of financial assets backed by gold, e.g., units of Exchange-traded funds (ETFs) or units of Mutual Funds; and
    (2) against primary gold or silver or financial assets backed by primary gold or silver.

36. The NBFC shall not extend a loan where ownership of the collateral is doubtful. A suitable document or declaration shall be obtained from the borrower in all cases to the effect that the borrower is the rightful owner of the eligible collateral. Multiple or frequent sanction of loans against eligible collateral to the same borrower, aggregating to a value in excess of a threshold to be decided by the lender, must be examined closely as part of the transaction monitoring under the anti-money laundering (AML) framework.

37. The NBFC shall not:

    (1) Avail loans by re-pledging gold or silver pledged to it by its borrowers.
    (2) Extend loans to other lenders, entities or individuals by accepting gold or silver collateral pledged to such lenders, entities, or individuals by their borrowers as collateral.

For removal of doubt, it *is clarified that* the above provision does not preclude a lender from financing another lender against the security of underlying receivables.

38. Tenor of consumption loans in the nature of bullet repayment loans shall be capped at 12 months, which may be renewed in terms of paragraph 34 above.

39. Loans against ornaments and coins shall be subject to the following:

    (1) The aggregate weight of ornaments pledged for all loans to a borrower shall not exceed 1 kilogram for gold ornaments, and 10 kilograms for silver ornaments.

    (2) The aggregate weight of coin(s) pledged for all loans to a borrower shall not exceed 50 grams in case of gold coins, and 500 grams in case of silver coins.

C. Valuation and Assaying of Gold and Silver collateral

40. Gold or silver accepted as collateral shall be valued based on the reference price corresponding to its actual purity (caratage). For this purpose, the lower of (a) the average closing price for gold or silver, as the case may be, of that specific purity over the preceding 30 days, or (b) the closing price for gold or silver, as the case may be, of that specific purity on the preceding day, as published either by the India Bullion and Jewellers Association Ltd. (IBJA) or by a commodity exchange regulated by the Securities and Exchange Board of India (SEBI) shall be used.

41. If price information for the specific purity is not directly available, the lender shall use the published price available for the nearest available purity and proportionately adjust the weight of the collateral based on its actual purity to arrive at valuation.

42. For the purpose of valuation, only the intrinsic value of the gold or silver contained in the eligible collateral shall be reckoned and no other cost elements, such as precious stones or gems, shall be added thereto.

D. Loan to Value Ratio (LTV)

43. The maximum LTV ratio in respect of consumption loans against the eligible collateral shall not exceed LTV ratios as provided in the table below:

Total consumption loan amount per borrower	Maximum LTV ratio
≤ ₹2.5 lakh	85 per cent

> ₹2.5 lakh & ≤ ₹5 lakh	80 per cent
> ₹5 lakh	75 er cent

Explanation: 'Loan to Value (LTV) ratio' on a day in this context means the ratio of the outstanding loan amount to the value of the pledged collateral or security, as the case may be, on that day. In case of bullet repayment loans, however, the LTV calculation, and the amount, shall take into account the total amount repayable at maturity.

44. The prescribed LTV ratio shall be maintained on an ongoing basis throughout the tenor of the loan.

E. Other Provisions

45. For conduct related aspects and collateral management, the NBFC shall be guided by the instructions contained in Reserve Bank of India (Non-Banking Financial Companies – Responsible Business Conduct) Directions, 2025.

46. The NBFC shall generally disburse loans into borrower's bank accounts. NBFC shall comply with the Reserve Bank of India (Non-Banking Financial Companies – Know Your Customer) Directions, 2025. Provisions of Sections 269 SS and 269 T of the Income Tax Act, 1961, and associated rules shall be complied with, as may be applicable.

47. In case of transfers, the NBFC shall ensure that:

    (1) Loan disbursals are made to the borrower's account and not to a third-party account

    Exceptions:

    (i) Disbursals covered exclusively under statutory or regulatory mandate (of RBI or of any other regulator),

    (ii) Flow of money between lenders for co-lending transactions,

    (iii) Disbursals for specific end use, provided the loan is disbursed directly into the bank account of the end-beneficiary).

    (2) Loan servicing, repayment, etc. is executed by the borrower directly in the NBFC's account without any pass-through account or pool account of any third party.

48. Running multiple loans simultaneously to a single borrower or a group of related borrowers may be prone to misuse and susceptible to fraud. Consequently, such practices shall be subject to stricter internal audit and supervisory examination.

49. For instructions on disclosure requirements, the bank shall be guided by the instructions contained in Reserve Bank of India (Non-Banking Financial Companies – Financial Statements: Presentation and Disclosures) Directions, 2025.

50. All NBFCs shall disclose in their balance sheet the percentage of loans extended against these collaterals, separately for gold and silver, to their total assets.